



ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE Winter Term 2021/22, 2nd Trial

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- Permitted tools: non. In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

Problem 1: Lecture 6 (literature, 30 points)

In his book "Law, Legislation, and Liberty," Friedrich August von Hayek develops one of the most detailed analyses of justice semantics. Please reconstruct his argumentation by answering the following sub-questions.

- How does Hayek determine the relationship between the individual private interests of citizens and the common good of their society? What is the role of the state in this relationship, according to Hayek? (6 points)
- Many people call a society a "community of values." Hayek, however, has a different perspective. Please explain why he argues that value consensus is not possible in society. What does he propose instead? (8 points)
- While Hayek points out that justice is essential for society, he criticizes the category of social justice in the context of markets. Please describe his criticism and focus particularly on the following aspects: (i) According to Hayek, does justice refer to market actors, process rules, actions or outcomes? (ii) Does social justice refer to market actors, process rules, actions or outcomes? (iii) Why is this, according to Hayek, a category mistake? (iv) Why does he think that market prices cannot mirror moral merit? (v) Why is, according to Hayek, justice conducive to personal freedom, while social justice is not?
- Would Hayek support a social insurance; would he support a universal basic income? Please explain your answer. (6 points)

Problem 2: Trade unions between class struggle and social partnership (lecture 12, 30 points)

The public discourse often discusses a class struggle between the bourgeoisie and the proletarians. Trade unions are often seen as the representatives of the proletarians. Please reconstruct the role of trade unions by answering the following sub-questions.

- Suppose a trade union can exercise monopoly power. Please reconstruct this situation in a labour market diagram. Distinguish between the competitive and the monopoly price for labour and furthermore distinguish between employment and unemployment. Exactly who experiences a class struggle including the labor demand curve, labor supply curve, and the statistical unemployment. Please explain the involved insider-outsider conflict. (12 points)
- Two unions are trying to gain monopoly power at the Deutsche Bahn. A union becomes the monopolist if it represents all workers. Unions that make extreme claims and talk about labor struggle in public discourse can attract more members. However, in the long run, these claims are harmful to the entire company, including the workers, who run the risk of losing their jobs. Please reconstruct this competition between two trade unions in a social dilemma. Explain the strategies of the actors in this dilemma. Determine the ordinal payoffs as well as the outcome of this game. Is the situation Pareto-superior or Pareto-inferior from the perspective of the involved actors? (12 points)
- Instead of engaging in class struggle, trade unions can play a productive role by promoting a social partnership. Please explain the social partnership in the market diagram you drew in problem (a). What are the differences between a social partnership and a class struggle? What happens to the labor demand curve and the labor supply curve? Do the employee insiders benefit from a social partnership? Who else? (6 points)